

IN THE SUPREME COURT OF SRI LANKA (SYNTHETIC JUDGMENT)

S.C. Appeal No. 99/2020 (Synthetic) | Page 1

JUDGMENT

1. This appeal raises a question of law as to whether parol evidence may be led to establish a constructive trust notwithstanding section 2 of the Prevention of Frauds Ordinance and sections 91 and 92 of the Evidence Ordinance.
2. The appellant contends that the notarially executed transfer was intended only as security, and that the true intention of the parties gives rise to a constructive trust under Chapter IX of the Trusts Ordinance.
3. Held: The Prevention of Frauds Ordinance, designed to prevent fraud, cannot be permitted to be used as an instrument of fraud. In appropriate cases of constructive trust, informal writings and parol evidence may be received to prove the true nature of the transaction.
4. Ratio: Where a party seeks to establish a constructive trust arising from the true intention of the parties, sections 91 and 92 of the Evidence Ordinance do not bar evidence led to invalidate or explain the instrument on grounds recognised by the provisos thereto, including fraud.

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